

Cold, Hard, Steel: Japanese cash fortresses

A cohort of profitable, effectively debt-free Japanese manufacturers at $0.37\times$ – $0.81\times$ book, where audited net cash covers half to all of the market cap. Bought as fairly-paid deep-value carry at minimum-starter size through gated daily envelopes — not a catalyst trade — with every order priced off the live tape and every position carrying its court's gates.

POSITION

Four envelopes · ~1.6% of book

5697 Sanyu 100/1,400 sh filled @ ¥825 (lead anchor) · 7239 Tachi-S 300 sh armed $\leq$ ¥2,420 · 2819 Ebara 200 sh armed $\leq$ ¥2,700 · 4625 Atomix 500 sh armed $\leq$ ¥815 · held from earlier courts: 8104 $\times$ 100

PRICE DISCIPLINE

Ceilings in code

no chasing above them · automatic pause on any -8% day (review, never an auto-buy) · 1–2 board lots/day at $\leq 2\%$ of median volume · DAY orders only

The dislocation, in one picture — net cash against the price you pay



LENS	5697	7239	2819	4625
Price / book	0.48×	0.74×	0.69×	0.37×
Dividend (live, verified)	3.64%	4.94%	1.93%	2.55%
EV / operating profit	~1.1×	~3.0×	~3.3×	~2.3×

Two lenses. On the balance sheet, you pay roughly the cash and receive an operating business at one-to-three times operating profit. The second lens is the honest one: **nothing forces these prices to close.** Boards and founding families decide; the exchange asks politely. The cohort is priced so the waiting itself is cheap — a verified ~2.7–3.5% weighted dividend on the names sized largest, against a bounded downside made of audited cash.

The load-bearing claim is a balance-sheet claim — verified name by name

The cash is real. Every market cap cross-checked against the live Tokyo tape within 15%; cash, equity, and debt read from the current 財務 tables, not from a screen's memory. Zero or near-zero interest-bearing debt across all four (debt/equity 0.02–0.15).

The businesses are running, not liquidating — fresh prints, held to the honest line:

- **5697:** Q1 FY27 (8/04) operating profit **+77% YoY** — the lead anchor is accelerating;
- **2819:** Q1 net income ¥639M, 3.9× YoY — verified exactly, and graded on the honest number (**OP +20%**; the prior-year net line was depressed);
- **7239:** the cohort's one **TSE Prime name at scale** (¥79B cap), 4.94% live yield, active buybacks — the one place the reform mechanism has real teeth;
- **4625:** P/B 0.37× — the market de-rated it further *after* our screen; road-marking safety paint (a municipal mandate) is the moat.

US-holder structure tested. PFIC screened on the FMV basis for all names — passive assets far below the 50% line. The cohort's cash looks large against market cap but small against total assets plus liabilities; Sanyu ~25% on the harsher test.

The clock — the TSE reform regime, read precisely

What is real: the exchange's capital-efficiency campaign (disclose your plan to fix sub-1× book, or explain), and a genuine cultural break in capital return. The precedents are verified events: **Citizen** cancelled 25.6% of its shares (+42%) · **Dai Nippon Printing** ran a record ¥300B buyback · **Taisei Oncho's** management took it private at a premium · **Dai-ichi Life's** unsolicited topping bid for Benefit One was accepted — hostile offers now win in Japan.

What is not real: a forcing function on this cohort's timetable. The pressure is strongest on Prime (7239), advisory on Standard, and the precedents skew large-cap. For the microcaps the catalyst arrives when a family, parent, or activist decides — which is why the position is carried at starter size on a dividend, not levered to a date.

What we verified — including the numbers that cut against us

CLAIM	FINDING (PRIMARY SOURCE)
Market caps & prices	All names re-priced on the live Tokyo tape at staging; every order re-priced again at execution — a limit that strays 3% from the tape refuses itself
Dividends	Read live per name. Verification <i>cut both ways</i> : 7239 pays more than screened (4.94%), 2819 materially less (1.93%) — 2819 is owned for the brand and balance sheet, not carry
2819 seasonality	Jan–Mar is an operating loss every year; Oct–Dec carries the year. Prints are graded against seasonal shape, not headline
4625's odd quarter	Jan–Mar net income (¥676M) <i>exceeded</i> operating profit (¥206M) — a non-operating gain not yet identified. Add-gate : no additions beyond the starter until it is
7239 group exposure	A Nissan-chain seat maker — and the desk already holds 7222 (Nissan Shatai). Combined parent-credit exposure is stated and capped before any add
Liquidity	4625 trades ~\$27k/day: the build is ~5 sessions at 1 lot/day and the exit is the same length — stated because an unstated build time is how positions become traps

The verification program — standing, not one-shot

MONITOR	STATUS	WHAT IT READS
Live-tape envelopes	LIVE, DAILY	Every chunk re-priced against the Tokyo tape each morning; ceilings, pauses, and participation caps enforced in code, not judgment
Earnings prints	PER CALENDAR	5697 Q2 (~Nov) · 2819 H1 (~Nov) · 7239 H1 (~Nov) — each graded against its court's stated line (OP trends, not headlines)
watch	PER PRINT	A full-year forecast still carrying its May announcement date = guidance <i>reaffirmed</i> ; any fires its name's halt gate
Parent / activist filings	CONTINUOUS	changes at 5697 (NSC stake), 7239 (AAGS/CB), 4625 — stake actions are the cohort's true catalysts
Position vs plan	DAILY, AUTOMATIC	Gateway position reconciled against each envelope's target; a mismatch halts the envelope loudly

Execution — chunked, tape-first, one decision a day

Each envelope places **one DAY-order chunk per Tokyo session**: 1–2 board lots, at most ~2% of the name's 20-day median volume, limit at the lower of tape and prior close, capped by the ceiling. Orders display one lot. Nothing rests overnight; nothing rests into prints. A failed or cancelled placement releases the day and reports the broker's own reason.

The whole cohort fills over roughly two to four weeks — deliberately. In books this thin, **patience is the execution edge**, and the same discipline that builds the position is what will someday exit it.

Why only starter size — the honest slide

- **The catalyst is unowned.** No date forces a re-rating on the Standard-market names. The dead-money branch is real and can run years; the dividend and the cash floor are what make that branch survivable — and at 0.25–0.75% per name, survivable many times over.
- **Carry is modest, not the thesis.** Weighted ~2.7–3.5% on the sized names. This cohort pays you to wait; it does not pay you well.
- **JPY is unhedged.** A 10% currency move swamps a year of carry in either direction.
- **Liquidity is symmetrical.** Entry discipline is exit discipline; the thin names are sized so the exit is measured in days, not months.

Tripwires — all dated, none discretionary

EVENT	WHEN	RULE
5697 Q2 print	~2026-11-04	OP momentum confirms → hold, envelope continues. Reversal to negative YoY → halt adds, review
5697 NSC stake action	continuous	Any change on the 33.4% parent stake → immediate re-court (the original tripwire, still armed)
2819 H1 print	~2026-11	Graded on OP vs seasonal shape; capital-return step-up → re-court for size
7239 pre-add gates	before any add	AAGS/CB allottee verified + combined Nissan-chain exposure (with 7222) stated and capped
4625 add gate	before any add	The Jan–Mar non-operating gain identified from the tanshin — until then, starter only
Envelope expiry	2026-10-31	All four envelopes lapse; unfilled remainders are re-ratified or dropped, never rolled silently
Any name –8% day	automatic	Envelope pauses itself; a dislocation is a review event, never an auto-buy

What this cohort reliably delivers — and what it doesn't

Reliably: a bounded-downside book of audited cash and running factories, bought below liquidation marks, paying a modest verified dividend, executed at a pace the order books never notice — with every gate in code and every claim tied to a primary document.

Not reliably: a date. The re-rating arrives when Tokyo's slowest-moving owners decide, or when the exchange's polite pressure finally compounds. We sized for the honest version: cheap enough that being early is fine, small enough that being wrong is cheap, and instrumented enough that whichever way it breaks, we hear it the same day.

Prepared from primary sources: live Tokyo tape (kabutan), EDINET/tanshin filings, and independent adversarial review, August 2026. Positions as stated on slide 01. Personal research memo — not investment advice.